

To:

Seabury Securities LLC
Mr Spencer Berg
Director - Aviation, Aerospace & Defense
Carnegie Hall Tower, 53rd Floor
152 West 57th St.
New York, NY 10019

and

MD Helicopters, LLC
4555 E McDowell Road
Mesa, AZ 85215

Mollis, 24th April 2025

Further Clarification to our LOI

Dear Spencer

I refer to your e-mail dated the 16th April 2025 and 23rd April 2025. You raised a number of questions, and on behalf of marengo-aviation GmbH, I would like to share our current view of the situation.

Please note that the following statements are non-binding at this stage, and subject to further review and due diligence of the potential transaction. They are also subject to successful funding of marengo-aviation GmbH for this transaction.

Question: First and foremost, we would need your valuation, indicating a total price at which you would consummate a transaction. Please indicate the assumptions you have made to reach this valuation.

The price that can be paid for the TC depends enormously on the ability of the buyer to bring the helicopter back into production. Without future production, the TC enables the buyer “only” to support the existing fleet.

Support of existing fleet

Even when we assume a fleet of still 98 flying helicopters, which is most probably too high it is not possible to use up the inventory during the expected lifetime of the fleet. This is especially true, because for the most critical part, the gearbox, no overhaul is available. This limits the flyable flight hours and therefore the time for the support of the fleet.

Price Estimation of TC and Inventory in the current state

Without a clear path towards production of the MD900 the value for the TC is somewhere around 1 to 2 Mio USD. As more as many of the large existing fleet owners will cannibalize existing helicopters to hold their remaining helicopters in the air and therefore only need a relatively small amount of spare parts to purchase over the remaining flight time.

Price Considerations for the Going Concern of the TC

The above means the project makes only sense for a buyer when the helicopter can be brought back into production. Theoretically, the possible price for the TC could in this case be higher than the 1 to 2 Mio USD stated above.

The future potential and success of the project depends on how fast the product can be brought back and whether the company can give the customer a vision that motivates them to invest in this model. This is especially hard under the consideration that MD, under Lynn Tilton, did everything to destroy the reputation of the product through bad service and unfulfilled promises. We assume that the potential to only bring the MD902 back into production is not enough to justify the necessary investment. To only bring the existing model back to market we need to change avionics, relaunch gearbox production, build a new gearbox testbench, and bring the fuselage and rotor back into production. Apart from the established manufacturers, there are only a few other parties in the world that are capable of realizing all this.

To relaunch the product you need the financing to finish the above described tasks and you need market know how and access. Without having a vision and a plan for further developments it is from our view not possible to be successful. As the future potential will be too small. This is especially true as from 2028 on Airbus with the H140 will have a strong competition on the market.

We are absolutely not interested to purchase the TC only to service the existing fleet. Even if you would have the necessary infrastructure already in place it is an impossible uphill fight. When we heard, that the TC could be available to an affordable price, we saw a real chance to realize a project that could break the quasi-monopole of Airbus in this class. Said all this we are willing to pay between 10 and 15 Mio USD for the TC if we are able to find a solution for the financing of the complete project. We are convinced and we have a track record that we can realize this. It would be possible to pay over time a low single digit multiple of that based on milestones agreed, but it would require more creative solution from the owners of MD than only to sell the TC outright. We propose therefore a structure similar to a management buy out. - And not only for the MD900 TC but also for a possible sale of the entire MD helicopters LLC.

Question: We also need to know who the buyer is to be, what entity will be acquiring the 902 TC. It may be Marengo-aviation GmbH, but it should be explicitly stated. You should outline who the principals are, capitalization of the business and any potential issues that you believe may impede the completion of a transaction. As an appendix, you should also provide a proof of funds for a transaction. This will be essential to gaining exclusivity.

Marengo Aviation GmbH in Switzerland would be the head of the acquisition, most probably after we would have changed it to Marengo Aviation Limited. Our plan would be to establish the production line in Mesa at or close to the actual MD facility. For this purpose we anyway need a

US footprint a subsidiary of the Marengo Aviation GmbH. Maybe it would make sense to place the TC direct in this subsidiary, which we are currently reviewing Responsible to develop the TC into the relaunch and as a project leader for the gearbox manufacturing and the avionic update Martin Stucki would take the lead over the team. Heinz Kubli would act as responsible person for the financial part. The challenge is to secure the funds. We have only started our fund raising activities recently and can confirm that we have already had successful discussion and are in the process of securing a large part of the potential TC price. We are in progress to sign LOI's for the time when the helicopter is back on production, this will help us with the financing.

Question: You have included some of the further required due diligence and other conditions precedent. Please make sure this is complete from your perspective. We would also need to understand if you have any required approvals that would be needed to complete a transaction. In terms of timing, this would also need to be concluded in the next 90 days for closing and funding.

The actual documentation does only include information about the inventory. However, no necessary information like e.g. drawing, 3D models, part list, or descriptions of work processes are available. The MD900 was for Mc Donnell Douglas a prestige project that was developed in Unigraphics as a CAD and Sherpa as PLM System. Under the line, this means 3D models as UG parts, drawing in electronic form and records for the rest of the production data should be available. Aside from a view on the physical existing tools a good understanding of the quality of the existing production data would also influence the possible price that can be spent on the TC. The availability of the electronic data is a critical point as there was at least one important break in the IT architecture since the development of the MD900 and it might be a challenge to recover the data when it is only available as VAX or Sparc or Unix data on some old mediums.

I trust the above gives you further insight to where we stand in the process. It is in our interest to recreate a certain value to the existing shareholders of MD helicopter, and at the same time taking over the MD902 TC or even the entire company in full.

Sincerely yours

A handwritten signature in blue ink, appearing to read 'M. Stucki'.

Martin Stucki

Principal and Managing Director
marengo-aviation GmbH